

demands. Pre-approved individuals can avail these loans anytime they want with minimal processing and documentation.

Mostly, personal loans are also good EMI schemes. Personal loans are unsecured, i.e., they are free of collateral and guarantors, they have a lower interest rate than credit cards and can be used for any purpose.

Types of EMI

There are four types of EMI schemes available.

Flat Rate EMI

With a flat interest rate, this type of EMI scheme is the most popular and advisable option. The interest rate charged on loan remains the same irrespective of the market fluctuations or outstanding balance. The least risky option for bankers as well as consumers, most banks swear by this method for recovering loans. In this scheme, the monthly payment remains more or less the same every month, thus helping to plan expenses well in advance.

Reducing Balance EMI

The most beneficial scheme for borrowers, this EMI scheme is structured in such a way that the interest rate, which remains unchanged, is charged on the outstanding principal amount. As you pay EMIs, your outstanding balance keeps reducing. Charging interest on the decreasing balance means the actual amount you pay as interest keeps decreasing every month. This scheme is not always provided by banks and depends both on the borrower and lender's interests.

Floating Rate EMI

The floating interest rate consists of two components - a base rate and a floating element. This is usually cheaper than the fixed rate EMI as floating rates usually tend to be lower than fixed rates. Even if the floating rate causes the interest rate to go higher, it would only be for a short time and the larger part of the tenure, you will be saving money. Some lenders provide floating interest rates to certain borrowers at times depending on various conditions. The disadvantage with this method is that budget planning becomes complex.

No Cost EMI

Popularised by online shopping sites, no cost EMI seemingly gives you